MEASURE K
CITY OF NEEDLES

IMPARTIAL ANALYSIS OF MEASURE K

This Impartial Analysis of Measure K has been prepared by the City Attorney pursuant to Section 9280 of the California Elections Code.

Existing Law:

The City Council of the City of Needles has placed Measure K on the ballot for the November 3, 2026 General Municipal Election. Measure K would amend sections 20-8, 20-9, and 20-10 of the Needles City Code to increase the City's transient occupancy tax ("TOT") from its current rate of ten percent (10%) to fourteen percent (14%) through a phased implementation.

Effect of Measure on Existing Law:

The City's transient occupancy tax is imposed on the rent charged for occupancy of hotels, motels, recreational vehicle parks, short-term residential rental units, and other lodging establishments within the City for stays of 30 days or less. Although hotel and lodging operators collect and remit the tax to the City, the tax is paid by the transient occupant rather than the property owner or operator.

Currently, the City's transient occupancy tax rate is ten percent (10%). If approved by the voters, Measure K would increase the tax rate in the following phases:

-- Effective January 1, 2027, the tax rate would increase to twelve percent (12%);
-- Effective January 1, 2029, the tax rate would increase to thirteen percent (13%); and
-- Effective January 1, 2030, the tax rate would increase to fourteen percent (14%).

The measure would also amend related provisions of the Needles City Code governing the monthly reporting and remittance of the tax by lodging operators and the calculation of penalties for delinquent reports and payments to reflect the applicable tax rate in effect at the time the tax is due.

Measure K would impose a general tax. Revenues generated by the measure would be deposited into the City's General Fund and may be used for any lawful municipal purpose as determined by the City Council through the annual budget process. The measure itself does not dedicate the additional revenues to any particular program, project, or service.

If approved, the increased tax rates would apply beginning on the effective dates specified above and would remain in effect unless subsequently amended or repealed in accordance with applicable law.

Based on current lodging activity, if approved, the City has determined that Measure K would generate approximately $200,000 annually beginning in 2027, $300,000 annually beginning in 2029, and approximately $400,000 annually upon full implementation beginning in 2030.

Because Measure K would enact a general tax, it requires approval by a majority of the voters voting on the measure to become effective.

A "Yes" vote is a vote in favor of increasing the City's transient occupancy tax from ten percent (10%) to fourteen percent (14%) through phased increases beginning January 1, 2027.

A "No" vote is a vote against the measure, and the transient occupancy tax would remain at ten percent (10%).

The above statement is an impartial analysis of Measure K. If you desire a copy of the measure, please call the Office of the City Clerk at (760) 326-2113, and a copy will be mailed at no cost to you.

s/ Lena Wade, Deputy City Attorney Dated: _____

ARGUMENT IN FAVOR OF MEASURE K

This Argument in Favor of Measure K was submitted pursuant to Section 9282 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.

Vote YES on Measure K to strengthen Needles' ability to maintain essential City services while asking visitors who stay in local lodging to contribute more toward the community they use and enjoy.

Measure K increases the City's Transient Occupancy Tax (TOT), which is paid primarily by visitors staying in hotels, motels, recreational vehicle parks, short-term rentals, and other lodging establishments—not by City residents.

The increase is phased over several years, from the current 10% to 12% beginning January 1, 2027, 13% beginning January 1, 2029, and 14% beginning January 1, 2030. This phased approach allows the increase to occur gradually rather than all at once.

An independent fiscal analysis found Needles' lodging market has remained stable and concluded that the proposed increase is not expected to materially affect hotel occupancy or overall lodging demand.

When fully implemented, Measure K is projected to generate approximately **$400,000 annually in additional local revenue**. These funds remain local and can support streets, parks, public infrastructure, public safety, economic development, and other essential City services.

Measure K also provides accountability through annual public disclosure of revenues and expenditures.

Needles is a community traveled by thousands of visitors who rely on our roads, public infrastructure, public safety, parks, and other City services. Measure K asks those visitors to contribute more toward maintaining the community and services they use.

Keep the revenue local. Keep investing in Needles. Vote YES on Measure K.

s/ Janet Jernigan, Mayor, City of Needles